IN THE NATIONAL COMPANY LAW TRIBUNAL, DIVISION BENCH - II, CHENNAI

Under Sections 230 to 232 of the Companies Act, 2013

In the matter of *Scheme of Amalgamation*

CA(CAA)/122(CHE)2021

TRIDENT COATINGS PRIVATE LIMITED
CIN NO: U24222TN2005PTC056499
1/590, G S T Road, Vandalur,
Chennai – 600 047 *... Applicant / Transferor Company*

Along with

CA(CAA)/125(CHE)2021

GERMAN POLYMERS AND COATINGS PRIVATE LIMITED
CIN NO: U24222TN1999PTC043257
S.No.123 Old Mahabalipuram Road,
Kandan Chavadi,
Chennai- 600 096 *... Applicant/ Transferee Company*

Order Pronounced on 1st July 2022

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Justice (Retd) S.RAMATHILAGAM, MEMBER (JUDICIAL)

ANIL KUMAR B, MEMBER (TECHNICAL)

For Applicant(s): V.Mahesh, PCS

ORDER

***Per:* Justice (Retd) S.RAMATHILAGAM, MEMBER (JUDICIAL)**

This is an application filed by the Applicant Companies, namely **TRIDENT COATINGS PRIVATE LIMITED** (for brevity "Transferor Company") and **GERMAN POLYMERS AND COATINGS**

PRIVATE LIMITED (for brevity "Transferee Company") under section 230-232 of Companies Act, 2013, and other applicable provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 in relation to the Scheme of Amalgamation (hereinafter referred to as the "SCHEME") proposed by the **TRIDENT COATINGS PRIVATE LIMITED** (for brevity "Transferor Company") and **GERMAN POLYMERS AND COATINGS PRIVATE LIMITED** (for brevity "Transferee Company") with its Shareholders. The said Scheme is also annexed at Annexure "E" to the CA/CAA/122 & 125(CHE) 2021.

2. The Applicant Companies in this Company Application have sought the dispensation of the meeting of the Equity Shareholders, Secured Creditors and Unsecured Creditors of the Transferor and Transferee Company.

3. From the certificate of incorporation filed, it is evident that the Transferor Company is a Private limited company incorporated under the provisions of Companies Act, 1956 on 02.06.2005. The Authorized issued, Subscribed & Paid up Share Capital of the Transferor Company is ₹85,00,000/- (Rupees Eighty Five Lakhs Only) consisting of 8,50,000 (Rupees Eight Lakh Fifty Thousand only) Equity Shares of Rs.10/- each.

4. From the certificate of incorporation filed, it is evident that the Transferee Company is a Private limited company incorporated under the provisions of Companies Act, 1956 on 30.09.1999. The Authorized Share Capital of the Transferee Company is ₹2,39,00,000 (Rupees Two Crores Thirty Nine Lakhs Only) consisting of 22,00,000 (Twenty Two Lakhs Only) Equity Shares of Rs.10/- each amounting to Rs.2,20,00,000/- and 1,90,000 5% Compulsory Convertible Non-Cumulative Preference Shares of Rs.10/- each amounting to Rs. 19,00,000/-. The Issued, Subscribed and Paid-up Capital of the Transferee Company is ₹2,33,08,040/- (Rupees two crores thirty three lakhs eight thousand and forty Rupees Only) consisting of 21,47,500 (Twenty One Lakhs Forty Seven Thousand and Five Hundred only) Equity Shares of Rs.10/- each amounting to Rs.2,14,75,000/- and 1,83,304 5% Compulsory Convertible Non-Cumulative Preference Shares of Rs.10/- each amounting to Rs.18,33,040/-.

5. An affidavit in support of the above application is sworn for and behalf of the applicant Companies has been filed by Mr.Rajaiyan Selvaraj in the capacity of Director and Authorised Representative for the Transferor and Transferee Company along with the application and it is also represented that the Registered office of the Transferor Company is situated at 1/590, G S T Road,

Vandalur, Chennai – 600 047 and the Registered office of the Transferee Company is situated at S.No.123, Old Mahabalaipuram Road, Kandan Chavadi Chennai - 600 096 within the territorial jurisdiction of the Bench of this Tribunal and falling within the purview of Registrar of Companies, Chennai.

6. TRIDENT COATINGS PRIVATE LIMITED (TRANSFEROR COMPANY)

(i) There are 2 (Two) Equity Shareholders and list of shareholders to this effect is placed at page 108 to 109 and consent affidavits given by all is placed as page nos.110 to 115 of the typed set filed with the application and sought for dispensation with holding of meeting.

(ii) There is 1 (One) Secured Creditor and the certificate issued by the Chartered Accountants to this effect is placed at page no. 116 to 117 of the typed set filed with the application and consent affidavits given by the sole Secured Creditor is placed at Page Nos. 118 to 119 of the typed set of the application and sought for dispensation with holding of meeting.

(iii) There are 77 (Seventy Seven) Unsecured Creditors and the certificate issued by the Chartered Accountants to this effect is placed at page Nos. 120 to 122 of the typed set filed with the application and consent by way of Affidavit given by 69 unsecured Creditors consisting

of 99.38% of total value of credit is placed at pages 123 to 293 of the typed set filed with the application and sought for dispensation with holding of meeting.

7. GERMAN POLYMERS AND COATINGS PRIVATE LIMITED (TRANSFEREE COMPANY)

(i) There are 2 (Two) Equity Shareholders and the list of shareholders to this effect is placed at page 125 and consent by way of Affidavit given by both the Equity Shareholders are placed at pages 127 to 132 of the typed set filed with the application and sought for dispensation with holding of meeting.

(ii) There is One Preferential Shareholder and the list of shareholders to this effect is placed at page 126 and consent by way of Affidavit given by the Sole Preferential Shareholder are placed at pages 133 to 135 of the typed set filed with the application and sought for dispensation with holding of meeting.

(iii) There is 1 (One) Secured Creditor and the certificate issued by the Chartered Accountants to this effect is placed at page no. 136 of the typed set filed with the application and consent affidavits given by the sole Secured Creditor is placed at Page Nos. 137 to 140 of the typed set of the application and sought for dispensation with holding of meeting.

(iv) There are 81 (Eighty One) Unsecured Creditors and the certificate issued by the Chartered Accountants to this

effect is placed at page Nos. 140 to 142 of the typed set filed with the application and consent by way of Affidavit given by 61 unsecured Creditors consisting of 93.42% of total value of credit is placed at pages 143 to 307 of the typed set filed with the application and sought for dispensation with holding of meeting.

6. We have perused the application and the connected documents / papers filed therewith including the Scheme contemplated by the Applicant companies.

7. The Applicant Companies has filed its Memorandum and Articles of Association *inter alia* delineating its object clauses as well as their last available Audited Annual Accounts for the year ended 31.03.2018 & 31.03.2019 and Provisional (Unaudited) Balance Sheet for the year ended 31.03.2020.

8. The Board of Directors of the Applicant Companies vide meeting held on 24th February 2020 has unanimously approved the proposed Scheme as contemplated above and copies of resolutions passed thereon have been placed on record by the applicant companies.

9. The Appointed date as specified in the Scheme Shall be 01.04.2019.

10. The Statutory Auditors of the Transferee Company have examined the Scheme in terms of provisions of Sec. 232 of Companies Act, 2013 and the rules made thereunder and certified that the Accounting Standards are in compliance with Section 133 of the Companies Act, 2013. The Certificate of the Statutory Auditors issued in this regard is placed at page No. 294 of the Transferor Company typed set and page No.308 of the Transferee Company Typed set filed along with the Application.

11. Taking into consideration the application filed by the Applicant Company and the documents filed therewith as well as the position of law, this Tribunal propose to issue the following directions : -

A. IN RELATION TO THE TRANSFEROR COMPANY:

(i) **With respect to Equity shareholders:**

Since it is represented by the Transferor Company that there are 2 Equity Shareholders in the Company whose consents by way of Affidavits have been obtained from both the shareholders and are placed on record, the necessity of convening holding and conducting the meeting is *dispensed with.*

(ii) **With respect to Secured Creditors:**

Since it is represented by the Transferor Company that there is one Secured Creditor in the Company whose consents by way of Affidavits have been obtained from the Secured Creditor and are placed on record, the necessity of convening holding and conducting the meeting is *dispensed with*.

(iii) **With respect to Unsecured Creditors:**

Since it is represented by the Transferor Company that there are 77 Unsecured Creditors in the Company whose consents by way of Affidavits have been obtained from 69 Unsecured Creditors Constituting 99.38% of the total value of credit are placed on record and are placed on record, the necessity of convening, holding and conducting the meeting is *dispensed with.*

B. IN RELATION TO THE TRANSFEREE COMPANY:

(i) **With respect to Equity shareholders:**

Since it is represented by the Transferee Company that there are 2 Equity Shareholders in the Company whose consents by way of Affidavits have been obtained from both the Equity Shareholders are placed on record, the necessity of convening, holding and conducting a meeting is *dispensed with.*

(ii) **With respect to Preferential shareholders:**

Since it is represented by the Transferee Company that there is 1 Preferential Shareholder in the Company whose consents by way of Affidavits have been obtained from the sole Preferential Shareholder are placed on record, the

necessity of convening, holding and conducting a meeting is *dispensed with.*

(iii) **With respect to Secured Creditors:**

Since it is represented by the Transferee Company that there is one Secured Creditor in the Company whose consents by way of Affidavits have been obtained from the Secured Creditor and are placed on record, the necessity of convening holding and conducting the meeting is *dispensed with*.

(iv) **With respect to Unsecured Creditors:**

Since it is represented by the Transferor Company that there are 81 Unsecured Creditors in the Company whose consents by way of Affidavits have been obtained from 61 Unsecured Creditors Constituting 93.42% of the total value of credit are placed on record and are placed on record, the necessity of convening, holding and conducting the meeting is *dispensed with*.

12. The Applicant Companies shall submit the Company Petition(s) within 14 days from the date of receipt of this order. Accordingly, the Application stands **allowed**.

- Sd -

ANIL KUMAR B
MEMBER (TECHNICAL)

-Sd-

Justice (Retd) S.RAMATHILAGAM,
MEMBER (JUDICIAL)